

makers, and the transformation of our markets. In his final chapter, he summarizes his concerns:

Trust is the cornerstone of most relationships in life. Financial institutions and markets must rest on a foundation of trust as well. . . . Unfettered financial entrepreneurship can become excessive and damaging as well—leading to serious abuses and the trampling of the basic laws and morals of the financial system. Such abuses weaken a nation’s financial structure and undermine public confidence in the financial community. . . . Only by improving the balance between entrepreneurial innovation and more traditional values can we improve the ratio of benefits to costs in our economic system. . . . Regulators and leaders of financial institutions must be the most diligent of all.

I couldn’t agree more. Indeed it is our failure to deal earlier with these very issues that set the stage for today’s financial crises. So every one of us must be concerned about the momentary triumph of short-term speculation in our financial markets, of which we have far too much, at the direct expense of long-term investment, of which we have not nearly enough. But it is up to today’s market participants particularly, as well as academics and regulators, to work together to restore that balance and return financial conservatism to its rightful preeminence. Otherwise, to paraphrase the concern cited earlier in this chapter that was expressed by Lord Keynes all those years ago, “the hazards we face now that enterprise has become a mere bubble on a whirlpool of speculation means that the job of capitalism *is* being ill-done.”

That is what has happened, and our society cannot afford to let it continue.